

Table 48.4 Breakout and Post-Breakout Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Breakout direction	57% up	48% up	43% down	52% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 7%, M 7%, H 7%	L 13%, M 8%, H 10%	L -8%, M -6%, H -5%	L -15%, M -12%, H -5%
Performance with breakout day gap	7%	11%	-5%	-15%
Performance without breakout day gap	7%	10%	-6%	-12%
Average gap size	\$0.41	\$0.45	\$0.67	\$1.07

Yearly position, performance. The best performing pennants occur within a third of the yearly low. Yes, the bull market after an upward breakout shows a tie, but the others prefer the yearly low. Downward breakouts do worst if the breakout is within a third of the yearly high.

Gaps. I measured performance from the breakout price (the opening price the day after the gap) to the trend end. The performance difference between gaps and no gaps is negligible except for downward breakouts in bear markets. If the stock shows a breakout day gap, performance improves enough to be worth considering them.

Table 48.5 shows pattern size statistics.

Height. Tall patterns perform substantially better than short ones. The largest difference occurs for pennants in bear markets after downward breakouts. To measure height, I used the pennant only (not including the flagpole), from highest peak to lowest valley and divided by the breakout price. Those with values greater than the median shown in the table for their respective markets and breakout directions were tall.